Note 6 - Income Taxes

The provision for income taxes consists of the following:

	Year Ended December 31,		
	2005	2004	2003
Current	$ 17,951	$ 19,281	$ 20,381
Deferred	912	2,197	288
Total provision for income taxes	$ 18,863	$ 21,478	$ 20,669

A reconciliation of the statutory Federal income tax rate to the effective income tax rate is as follows:

	Year Ended December 31,		
	2005	2004	2003
Statutory Federal income tax rate	35.0%	35.0%	35.0%
Tax exempt interest	(.4)	(.2)	(.1)
Wage tax credits	(.5)	(.5)	(.5)
Other	.4	.2	(.3)
Effective income tax rate	34.5%	34.5%	34.1%

Deferred tax liabilities and assets at December 31, 2005 and 2004 are comprised of the following:

	December 31,	
	2005	2004
Deferred tax liabilities relating to:		
Unrealized investment gains, net	$ -	$ 399
Deferred member and associate service costs	7,493	7,020
Property and equipment	7,008	4,854
Total deferred tax liabilities	14,501	12,273
Deferred tax assets relating to:		
Expenses not yet deducted for tax purposes	2,497	2,265
Deferred revenue and fees	11,425	10,509
Unrealized investment losses, net	44	-
Other	647	80
Total deferred tax assets	14,613	12,854
Net deferred tax asset	$ 112	$ 581

Our deferred tax assets and liabilities are included in the accompanying consolidated balance sheets at December 31, 2005 and 2004 as follows.

	December 31,	
	2005	2004
Deferred income taxes (current asset)	$ 4,894	$ 4,829
Deferred income taxes (non-current liability)	(4,782)	(4,248)
Net deferred tax asset	$ 112	$ 581

A significant portion of the deferred tax assets recognized relate to deferred revenue and fees. A valuation allowance was not recorded since we believe that there was sufficient positive evidence to support our conclusion not to record a valuation allowance. Management believes that we will realize

the tax benefit of these deferred tax assets in the future because of our history of pre-tax income. However, there can be no assurance that we will generate taxable income or that all of our deferred tax assets will be utilized.